

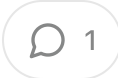
# How to Manage an Intraday Trend Trade

Choosing not to Choose



CONCRETUM RESEARCH

MAY 16, 2026



In managing our book, we run trend strategies across multiple asset classes at different speeds, with exposure ranging from slower multi-day systems faster intraday signals.

Regardless of model specifications, we keep observing the same pattern: small implementation details can produce surprisingly large differences in real performance.

As we like to say... **dispersion is in the details.**

This theme has come up across several recent articles, from position sizing approaches to reverse-engineering the rules of a legendary portfolio manager in the CTA industry.

*You can find our previous articles at the links below.*



## How to Size Your Trend Trades

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Today we test something new.

We take a simple intraday trend signal and study four distinct exit policies treating this experiment as a practical exercise to reason about how a signal design choice should (or should not) be made.

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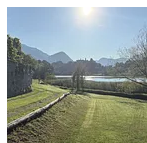
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## Study Setup

All tests are performed on the iShares Semiconductor ETF (SOXX), an asset class that has been firmly *in play* for several weeks, having staged a historic remarkable run-up through new all-time highs.

For all tests, we use a signal based on ATR band breakouts, something we already presented in a piece earlier this year.

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we enter a position in the direction of the breakout, betting that such directional impulse will persist.

Conceptually, the framework attempts to isolate moments when a **meaningful directional imbalance is affecting intraday price formation**, and then position anticipation of that imbalance persisting throughout the trading session.

**Trade sizing depends on recent market volatility:** the higher the recent volatility the smaller the position size, and vice versa.

Keeping the entry scheme and sizing unchanged, we test **four exit variations:**

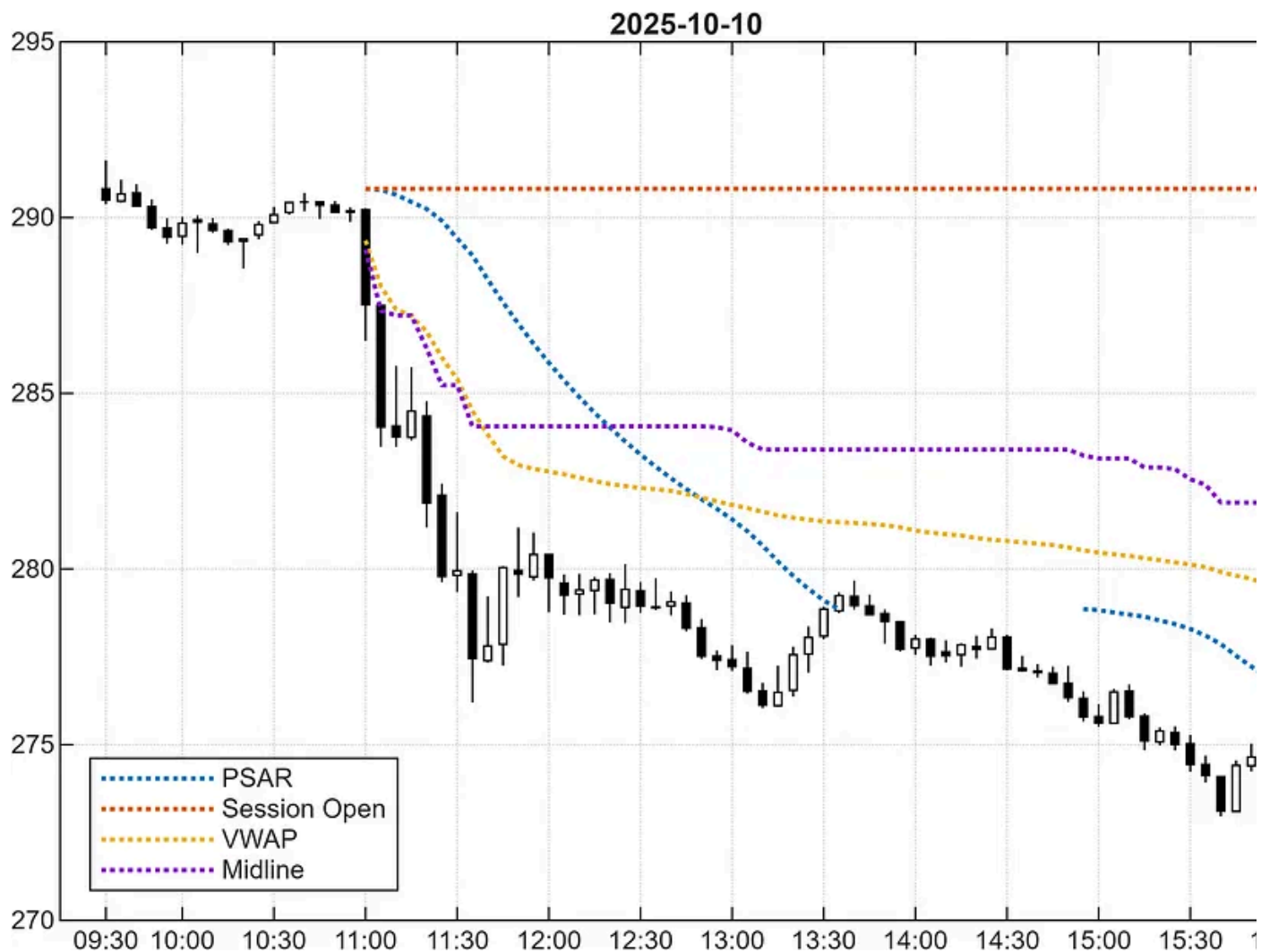
1. **Session Open**
2. **Session Midline**
3. **VWAP** (Volume Weighted Average Price)
4. **PSAR** (Parabolic Stop and Reverse)

The following chart provides a graphical illustration of how these mechanisms behave during a representative trading session.

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## Session Open

The most straightforward of the four. Its logic is directly connected to the signal itself: because the ATR bands are **anchored to the session opening price**, the 1 ATR level becomes the natural reference point for our imbalance measure.

In other words, if the market retraces all the way back to the session open, **consider the measured imbalance as invalidated**: the buy or sell pressure that drove the initial move is no longer present and we exit the position.

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If we enter a long position on a new session high or low, it appears reasonable to maintain exposure as long as price action remains closer to directional continuation than reversal.

## VWAP (Volume Weighted Average Price)

The Volume Weighted Average Price (VWAP) is an indicator we have studied in depth in a prior research paper. We believe it serves as an elegant exit solution for intraday trend strategies because it defines a **natural level of balance** between buyers and sellers.

If the market retraces back to VWAP after a breakout, we interpret this as a signal that the directional imbalance has been absorbed and the earlier directional conviction is no longer supported.

## PSAR (Parabolic Stop and Reverse)

The Parabolic SAR is a classic trailing stop mechanism originally presented by *Welles Wilder* in 1978. What sets it apart from the other three exits is **acceleration mechanic**: the stop not only trails price, but tightens progressively as the trade extends in our favor, becoming stricter the more the trade moves in our favor.

The stop level updates each bar according to the following rule:

$$PSAR_t^* = PSAR_{t-1} + AF_{t-1} (EP_{t-1} - PSAR_{t-1})$$

$$PSAR_t = \begin{cases} \min(PSAR_t^*, C_{t-1}), & \text{Long} \\ \max(PSAR_t^*, C_{t-1}), & \text{Short} \end{cases}$$

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| Variable     | Definition                                                                                                                      |
|--------------|---------------------------------------------------------------------------------------------------------------------------------|
| <b>PSAR</b>  | Final PSAR stop level, after applying the prior-close constraint                                                                |
| <b>PSAR*</b> | Raw PSAR level before the prior-close constraint is applied                                                                     |
| <b>C</b>     | Closing price                                                                                                                   |
| <b>EP</b>    | Extreme point reached during the trade: highest close for a long trade, lowest close for a short trade                          |
| <b>AF</b>    | Acceleration factor. It starts at 0.005, increases by 0.005 each time a new favorable extreme is reached, and is capped at 0.20 |

For the first trade of each session, PSAR is initialized at the session open. In subsequent trades within the same session, PSAR is not reset: instead, it picks up from the last stop level reached at the previous exit.

## The Results

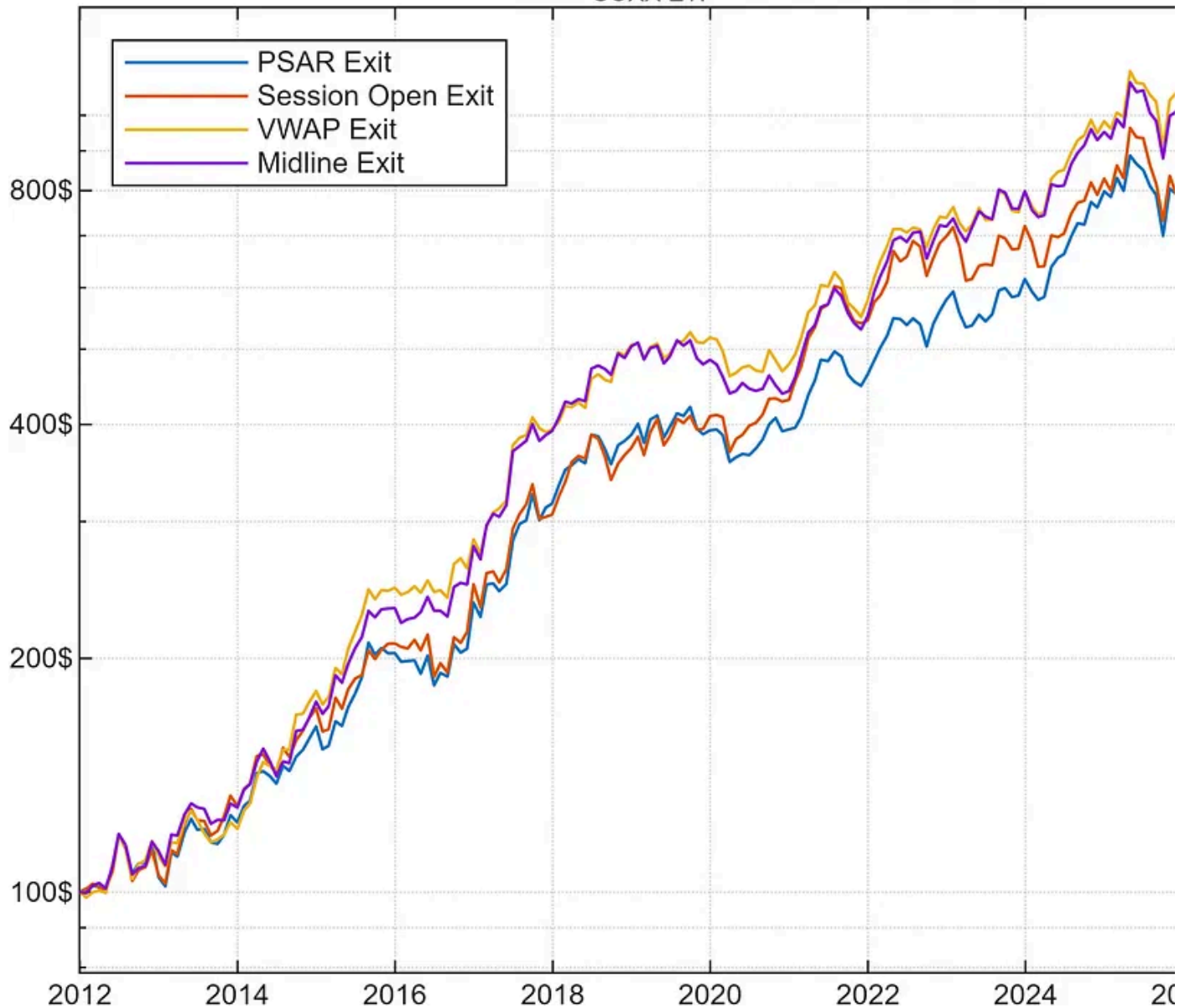
All four exit policies **deliver positive results across the full backtest period**. For SOXX: Sharpe ratios range from 0.92 to 1.16, CAGRs from 16.2% to 18.3%, maximum drawdowns are clustered in the -20% to -24% range. Every configuration remains profitable, although we observe some dispersion in performance.

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## Intraday Trend Exits

SOXX ETF



The VWAP exit leads on both Sharpe (1.16) and CAGR (18.3%), with the Mid close behind (Sharpe 1.12, CAGR 17.8%). PSAR and Session Open trail somewhat at Sharpe ratios of 1.02 and 0.92 respectively.

~~At this point one might be tempted to simply select the highest Sharpe exit t~~

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| Exit Type    | Trades | Avg Trade (bps) | Best Trade (bps) | Worst Trade (bps) | Avg Duration (Min) | Avg Intra Trade Max Drawdown (bps) | Worst Intra Trade Max Drawdown (bps) |
|--------------|--------|-----------------|------------------|-------------------|--------------------|------------------------------------|--------------------------------------|
| Midline      | 2769   | 6.2             | 1,418.3          | -325.9            | 152.3              | -65.5                              | -555.7                               |
| PSAR         | 2547   | 6.3             | 1,418.3          | -421.4            | 187.5              | -73.2                              | -728.5                               |
| Session Open | 2406   | 6.8             | 1,418.3          | -422.4            | 241.8              | -88.8                              | -728.5                               |
| VWAP         | 2785   | 6.1             | 1,418.3          | -421.4            | 146.8              | -64.0                              | -555.7                               |

Gross-of-costs trade-level statistics for the four exit-policy implementations evaluated between January 2012 and May 2026.

Once we move beyond portfolio-level metrics, the picture becomes considerably more nuanced.

The Session Open exit generates the fewest trades (2,406) and the highest average return per trade at 6.8 bps. On the surface that is appealing, but it comes with far the worst average intra-trade drawdown at nearly -89 bps, meaning the returns require sitting through significantly deeper adverse moves.

The PSAR exit tends to offer less severe intra-trade drawdowns of (-73 bps) while maintaining a competitive average return of 6.3 bps. The Midline and VWAP exit compress drawdowns further (-65.5 and -64 bps respectively), at the cost of somewhat lower average trade returns (6.2 and 6.1 bps).

This is a pattern we observe consistently in our research: optimizing for one metric tends to come at the expense of another. Once evaluation criteria move beyond a single metric, what “best” actually means becomes less clear, and ex

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| Method       | 2012 | 2013 | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | Average |
|--------------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|---------|
| Midline      | 1    | 3    | 2    | 2    | 1    | 1    | 2    | 4    | 4    | 1    | 1    | 1    | 3    | 1    | 4    | 2.3     |
| VWAP         | 2    | 4    | 1    | 1    | 3    | 2    | 1    | 2    | 3    | 3    | 2    | 2    | 2    | 2    | 3    | 2.3     |
| PSAR         | 4    | 2    | 3    | 3    | 4    | 3    | 3    | 3    | 2    | 4    | 4    | 3    | 1    | 3    | 1    | 2.9     |
| Session Open | 3    | 1    | 4    | 4    | 2    | 4    | 4    | 1    | 1    | 2    | 3    | 4    | 4    | 4    | 2    | 2.9     |

The same strategy that excels in one regime can look poor in the next: ranki rotate, and judging from their average values, **no configuration has persisted dominated** across the full testing sample.

## What to Do Now?

From first principles, if we select one exit policy and discard the others, we **implicitly making a bet** that this particular approach is meaningfully superior the alternatives.

That would be justified if we **had very strong confidence that one specific type is genuinely and durably better**, but the evidence simply does not support that view: different metrics might favor different configurations, and ranki tend to rotate year by year.

Interestingly, the best course of action we have found in these situations is **avoid the choice entirely**, or, in other words, **choosing not to choose**.

This is possible through a technique that is fairly well known in quantita

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**both intuitive and structurally sound.** In our experiment, since we have no str basis to favor one exit policy over the others, we should allocate a portion of risk budget to each implementation. This eliminates the risk of selecting worst configuration and removes the implicit assumption that we can reli foresee which specification will perform best going forward.

Notably, **ensembling does not require the individual strategies to uncorrelated or dramatically different** from one another. It simply reflects fact that our uncertainty about which specification is best is real, and 1 uncertainty should be **expressed in how we allocate rather than suppressed by overconfident single-point choice.**

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## Conclusion

We find ensembling to be both a robust and underrated approach, one 1 strongly resonates with the spirit of *Occam's Razor*.

Occam's Razor, in its most practical interpretation for system design, is at **parsimony**: the simpler a framework is, the fewer assumptions it rests on, and **fewer potential points of rupture it carries.**

Every extra assumption we introduce is a place where something can break in future, either because that assumption eventually stops holding or becaus creates a temptation to tinker when performance disappoints. Fewer moving p means fewer decisions to revisit and fewer levers to pull under pressure.

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second-guess over time, and a design that is inherently more stable across changing market regimes.

**Remember... markets rarely reward unnecessary complexity.**

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